

Tab 1

TASK 1: Campaign Viability Analysis — GlowNest

Q1: Unit Economics

Gross Margin = ₹800 – ₹280 = ₹520

Amazon Fee = ₹800 × 12% = ₹96

Ad Cost per Unit = ₹3,00,000 ÷ 1,500 = ₹200

Net Margin per Ad Unit = ₹520 – ₹96 – ₹200 = ₹224

Q2: Monthly Profitability

Net Margin per Organic Unit = ₹520 – ₹96 = ₹424

Profit from Ad Units = 1,500 × ₹224 = ₹3,36,000

Profit from Organic Units = 2,000 × ₹424 = ₹8,48,000

Total before Fixed Costs = ₹11,84,000

Less Fixed Costs = ₹1,50,000

Monthly Profit = ₹10,34,000

Q3: ACOS and TACOS

Ad Revenue = 1,500 × ₹800 = ₹12,00,000

Total Revenue = 3,500 × ₹800 = ₹28,00,000

ACOS = ₹3,00,000 ÷ ₹12,00,000 × 100 = 25% TACOS = ₹3,00,000 ÷ ₹28,00,000 × 100 = 10.7%

Analysis: ACOS of 25% is acceptable because net margin per unit is still positive at ₹224. TACOS of 10.7% is healthy — well below the 15% benchmark. Strong organic sales indicate the brand is building real equity on the platform, not just buying visibility.

Q4: Break-Even Ad Spend

Organic profit (fixed) = $2,000 \times ₹424 = ₹8,48,000$

Break-even equation: $1,500 \times (₹424 - X/1,500) + ₹8,48,000 - ₹1,50,000 = 0$

Solving for X: **Maximum Ad Spend = ₹13,34,000**

Break-even ACOS = $₹13,34,000 \div ₹12,00,000 \times 100 = 111\%$

Assumption: Units sold via ads remain at 1,500 regardless of spend level.

Q5: Scenario — ACOS worsens to 40%, Ad Units drop to 1,200

Ad Spend at 40% ACOS = $40\% \times (1,200 \times ₹800) = ₹3,84,000$ Ad Cost per Unit = $₹3,84,000 \div 1,200 = ₹320$

Net Margin per Ad Unit = $₹520 - ₹96 - ₹320 = ₹104$

Profit from Ad Units = $1,200 \times ₹104 = ₹1,24,800$ Profit from Organic Units = $2,000 \times ₹424 = ₹8,48,000$ Monthly Profit = $₹9,72,800 - ₹1,50,000 = ₹8,22,800$

Monthly profit drops from ₹10,34,000 to ₹8,22,800 — a decline of ₹2,11,200. The business remains profitable but the trend is concerning.

Recommendation: Pause broad match keywords, shift budget to exact match, conduct a negative keyword audit, and improve product listing quality to recover conversion rates.

Q6: Scenario — Ad Spend doubled to ₹6,00,000, Units increase to 2,500

Ad Cost per Unit = $₹6,00,000 \div 2,500 = ₹240$

Net Margin per Ad Unit = $₹520 - ₹96 - ₹240 = ₹184$

Profit from Ad Units = $2,500 \times ₹184 = ₹4,60,000$ Profit from Organic Units = $2,000 \times ₹424 = ₹8,48,000$ Monthly Profit = $₹13,08,000 - ₹1,50,000 = ₹11,58,000$

Additional profit = $₹11,58,000 - ₹10,34,000 = ₹1,24,000$ for ₹3,00,000 extra spend. Diminishing returns are clearly visible — margin per ad unit fell from ₹224 to ₹184.

Recommendation: Do not double spend immediately. Test at ₹4,50,000 first, monitor unit economics, then decide whether to scale further.